

EXCLUSIVE INVESTIGATION | MAY 2026 | FOR PUBLIC REVIEW

THE DEAL THAT COULD RESHAPE MALAYSIA'S PETROLEUM FUTURE

SEARAH: The Deal the *Rakyat* Need to Understand

How a London-registered company, a gas field 200 kilometres off the coast of Sarawak, and a 1988 Italian treaty came together in secret — and why it matters to every Malaysian who pays for fuel.

BY ARIF'S FEDERATION INVESTIGATION UNIT | NOT FOR DISTRIBUTION UNTIL REVIEWED

On the morning of November 3, 2025, in a conference room at the Abu Dhabi National Exhibition Centre, two men signed a piece of paper that would reshape who controls Malaysia's petroleum wealth. One was Claudio Descalzi, the chief executive of Italy's state-controlled energy company Eni SpA, a man who had just been appointed to an unprecedented fifth consecutive term leading one of Europe's largest energy companies. The other was Tengku Muhammad Taufik, president and group chief executive of PETRONAS. They called the document an Investment Agreement. It committed more than \$15 billion. It created a new company. And it placed some of Malaysia's most valuable petroleum assets under the laws of England and Wales.

Most Malaysians heard nothing about it that day. Parliament was not in session. The newspapers that reported the signing described it as a routine joint venture. The word SEARAH — the name chosen for the new company — appeared in press releases from Milan and Kuala Lumpur. It was noted by energy analysts. It was noted by competitors. It was noted by lawyers who specialise in

international investment law. To those who looked at the maps of Sarawak, the offshore gas fields are central to the deal.

Sarawak, and a London-registered company quietly incorp

Fifteen weeks later, on March 10, 2026, Malaysia's Federal Court agreed to hear a landmark challenge brought by PETRONAS against the laws of Sarawak — a challenge that could

determine whether PETRONAS or the Sarawak state government controls the gas fields that feed the Bintulu LNG complex. The court case had been building for months. The settlement negotiations had failed. The politicians had stepped back. And in the weeks while all of that was happening, a company had already been registered in London, with two Italian directors and two Malaysian directors, whose entire purpose was to hold the very assets now being disputed.

This is not a story about crime. No one has been charged with any wrongdoing. This is a story about structure, about sovereignty, about the distance that can open up between a national resource and the people it belongs to — when the wrong legal architecture is placed in between.

PART 1 OF 4 | THE DEAL

WHAT WAS SIGNED IN ABU DHABI

The Investment Agreement dated November 3, 2025, committed PETRONAS and Eni to a 50/50 joint venture covering upstream petroleum assets across Malaysia and Indonesia. Eni described it as a "transformational" combination that would create a major new independent energy company. PETRONAS described it as a partnership that would generate "substantial synergies" and position both companies as leading LNG players in Southeast Asia. Both descriptions were accurate. Neither mentioned the most important thing about the structure.

The new company, registered in the United Kingdom under the Companies Act 2006, is called SEARAH Limited. It was incorporated at Companies House on February 11, 2026, under the name SEARA ENERGY LIMITED — a name it changed on March 30, 2026, twenty-two days after the Malaysian Federal Court agreed to hear the PETRONAS-PETROS case. Its registered address is E N I House, 10 Ebury Bridge Road, London SW1W 8PZ. Its two shareholders are Petronas Carigali International Ventures Sdn. Bhd. and Eni Lasmo Plc, a UK-registered Eni subsidiary. Its board has two Italian directors and two Malaysian directors. Its company secretary is Eni House. It operates under English law.

The Numbers Are Large

SEARAH's asset portfolio consists of 19 fields across Malaysia and Indonesia. Five are in Malaysia. Fourteen are in Indonesia. The Malaysian assets are gas-producing and development-stage fields, including fields in PETRONAS's largest domestic producing block — Block SK316, located offshore Sarawak, approximately 200 kilometres off the coast, containing the Kasawari field which began production in August 2024 and supplies feedgas to the MLNG complex at Bintulu. The Indonesian assets include Eni's holdings in the Kutei Basin and the Masela Block containing the Abadi LNG project. Initial production is rated above 300,000 barrels of oil equivalent per day, scaling to more than 500,000 boe/day within five years. The committed capital investment exceeds \$15 billion over that period. The reserves base is approximately 3 billion barrels of oil equivalent, with a further 10 billion boe of exploration upside.

Both CEOs signed the agreement in Abu Dhabi on November 3, 2025, at ADIPEC. Descalzi described the venture as "a transformational model for Eni's Southeast Asian presence," enabled by "our exceptional exploration skills and track record of delivering disciplined, fast track projects." No PETRONAS statement described the UK structure as having been recommended by Malaysian legal counsel or reviewed by the Federal Cabinet. No press release mentioned that the assets included fields in Sarawak whose legal status was then actively in dispute.

The Timing Is Difficult to Ignore

The sequence of events runs as follows. In August 2025, Petroleum Sarawak Berhad — known as PETROS, the 100%-state-owned petroleum company of Sarawak — filed a lawsuit against PETRONAS in the Kuching High Court, alleging that PETRONAS had been supplying natural gas in Sarawak without a valid license. In October 2025, Eni publicly confirmed that the joint venture was targeting a 2026 launch. On October 29, 2025, Prime Minister Anwar Ibrahim said he had spoken to Italian Prime Minister Giorgia Meloni and both had agreed to "expedite and conclude" the PETRONAS-Eni collaboration "in the near future." On November 3, 2025, the Investment Agreement was signed in Abu Dhabi. SEARA ENERGY LIMITED was incorporated in London on February 11, 2026. On February 25, 2026, the Kuching High Court ruled on the bank guarantee question in the PETROS-PETRONAS dispute, sending the core jurisdiction question to the Federal Court. On March 16, 2026, the Federal Court allowed PETRONAS to pursue its constitutional challenge against Sarawak's petroleum laws. On March 30, 2026 — fourteen days after the Federal Court ruling — SEARA ENERGY LIMITED changed its name to SEARAH LIMITED.

The name change is a matter of public record at Companies House. The NM01 and RES15 filings were processed on March 30, 2026. The company was incorporated as SEARA ENERGY LIMITED on February 11. It operated under that name for forty-seven days. It changed names twenty-two days after the Federal Court agreed to hear the PETRONAS challenge. This is not presented here as evidence of wrongdoing. It is presented as a factual sequence that any journalist or analyst reading the public record would note.

*"A country can lose control of its resources not through theft alone,
but through structure. Through jurisdictions chosen deliberately.
Through decisions made in places the rakyat cannot reach."*

— FROM THIS INVESTIGATION

PART 2 OF 4 | THE FIELD

| WHY SARAWAK'S GAS IS CENTRAL TO THIS DEAL

Block SK316 is PETRONAS's largest domestic producing asset. That is not an opinion — it is the finding of Wood Mackenzie, one of the world's most respected energy research firms, in a February 2025 report written specifically about the PETRONAS-Eni combination. "PETRONAS's largest domestic producing asset is the SK316 block in Sarawak," the report states, "which includes the Kasawari development." Kasawari is a gas field located in the Sarawak Basin, in the Central Luconia Province, in approximately 100 metres of water depth, about 200 kilometres off the coast of Sarawak. It began producing gas in August 2024 at an initial rate of 200 million standard cubic feet per day, with a design capacity of over 9,300 million cubic metres per year. It is expanding toward 900 mmscf/d. Its production feeds directly into the MLNG Train 9 facility at Bintulu, Sarawak — the same facility at the centre of the PETROS-PETRONAS dispute.

Block SK316 is not disputed in the abstract. It is disputed in law. PETROS's core legal argument is that PETRONAS has been supplying gas in Sarawak without the required authorisation from the state — because, PETROS argues, the Petroleum Development Act 1974 does not validly apply in Sarawak, having been passed during the Emergency rule when the federal government had limited legitimate authority in the states. This is not a fringe legal theory. It is a serious constitutional argument that Malaysia's Federal Court agreed to hear on its merits in March 2026. And it concerns exactly the gas production from exactly the fields that SEARAH now holds.

Wood Mackenzie's analysis — written in February 2025, before the Federal Court proceedings — specifically anticipated that PETRONAS would contribute "production and exploration assets in Sarawak and Sabah" to the joint venture. The contribution of Sarawak assets was not presented as a rumour. It was presented as an analytical expectation based on the asset portfolio PETRONAS was known to hold and the logic of what a 50/50 combination with Eni would require. If SEARAH holds SK316 and its associated fields, it holds the exact assets whose future is now being determined by Malaysia's courts.

The gas from Kasawari and the other fields in Block SK316 flows to Bintulu. Bintulu is in Sarawak. PETROS was created specifically to be the gas distribution authority for Sarawak. The PETROS lawsuit is specifically about whether PETRONAS has been authorised to supply that gas. And now, the asset that produces that gas is held — in part — inside a UK company whose governance is controlled by English law, whose board has a 50% Italian shareholder, and whose corporate actions cannot be directly overridden by the Malaysian courts without navigating UK company law and potentially triggering protections under the Italy-Malaysia Bilateral Investment Treaty.

This is not a conspiracy theory. This is the structural consequence of the legal architecture that was chosen.

cannot be directly overridden by Malaysian courts without navigating

PART 3 OF 4 | THE ARCHITECT

I THE MAN WHO BUILT THE STRUCTURE

Claudio Descalzi has been the chief executive of Eni SpA since May 2014. He was born in Milan on February 27, 1955, trained as an engineer, and has spent his entire career at Eni, rising through the exploration and production division before becoming chief executive. In April 2026, the Italian Treasury confirmed his appointment to an unprecedented fifth consecutive three-year term — a remarkable tenure for a European state-controlled energy company, reflecting both his institutional entrenchment and the Italian government's confidence in his leadership.

Descalzi's record, however, carries documented complexity. In 2014, Italian prosecutors opened a criminal investigation into Descalzi personally in connection with Eni's acquisition of OPL 245 — a prolific offshore Nigerian oil block — at a cost of approximately \$1.3 billion. The deal involved Eni, Shell, and the Nigerian government, and was accompanied by persistent allegations that significant portions of the purchase price were funnelled through a shell company called Malabu Oil and Gas into private accounts. Descalzi was placed under investigation alongside the company. He consistently denied all allegations.

In March 2021, a Milan criminal court acquitted Descalzi, Eni, Shell, and all senior managers of all charges. The court found no case to answer. In 2022, Italian prosecutors dropped their appeal against the asset-freeze component of the acquittal. Eni then filed a claim at the International Centre for the Settlement of Investment Disputes — ICSID, the World Bank's arbitration arm — demanding compensation from Nigeria in connection with the OPL 245 affair. Nigeria, in parallel, dropped a \$1.1 billion civil damages claim it had filed against Eni over the same transaction. In November 2023, Eni agreed to suspend its ICSID claim following Nigeria's withdrawal of the civil case. In March 2026, Nigerian President Bola Ahmed Tinubu announced what he described as a "historic resolution" of the fifteen-year OPL 245 dispute. No criminal conviction was ever recorded against Descalzi or Eni.

The sequence matters not because it proves anything about SEARAH, but because it illustrates a pattern. Eni used ICSID arbitration — not as a forum in which it

necessarily expected to win — but as a coercive instrument to shift the negotiating posture of a sovereign state. The filing created financial exposure and reputational risk for Nigeria. Nigeria responded by dropping its own civil claim. Eni then suspended the arbitration. The outcome was reached without any public disclosure of its terms. Observers of international investment law describe this as a documented use of ICSID as a tactical pressure tool, not a genuine adjudication process.

This means the structure relies on English corporate law.

The SEARAH legal architecture — UK incorporation and English law.

The Satellite Model

In Eni's own description, SEARAH follows what it calls the "satellite model" — a strategy Eni has used in three prior major transactions: Vår Energi in Norway (2018), Azule Energy in Angola (2022, in partnership with BP), and Ithaca Energy in the United Kingdom (2024). In each case, Eni contributed assets into a separately incorporated vehicle, registered in a jurisdiction outside the host country, governed by the law of the incorporation country rather than the law of the host state. The consistent structural logic is identical: isolate the assets from host-country sovereign risk by placing them inside a corporate structure that cannot be directly reached by the host government's regulatory actions.

"The assets included in the transaction retain their current operating set-up," Eni noted in its March 2026 description of SEARAH. This is, at one level, a reassurance — the fields will still be operated by the same technical teams. But it is also a description of what a satellite vehicle does: it holds title at the corporate level while the operating entity continues to run day-to-day operations. The question of who owns the asset, and under what law, is settled at the holding-company level. The operating company simply manages the production.

The Italy-Malaysia Bilateral Investment Treaty, signed January 4, 1988, and in force since October 25, 1990, is not a peripheral consideration in this structure. It is central to it. The treaty provides Eni Lasmo Plc — the UK-registered Eni subsidiary that is a 50% shareholder in SEARAH — with the right to bring a claim against Malaysia directly at ICSID, without first exhausting Malaysian court remedies, if Malaysia takes any action that qualifies as indirect expropriation or a breach of fair and equitable treatment. The treaty contains an unqualified FET clause — meaning Malaysia cannot depart from established legitimate expectations without triggering treaty liability. It covers indirect

expropriation — meaning a court ruling that effectively deprives Eni of the value of its SEARAH investment could be characterised as compensable expropriation under international law. It has a five-year survival clause — meaning that even if Malaysia were to terminate the treaty tomorrow, covered investments retain their protections for five years after termination. And it has no denial-of-benefits clause — meaning Malaysia cannot block treaty protection on the grounds that the corporate structure was designed to gain treaty access.

If PETROS prevails in its challenge, and if the Malaysian government is then unable to simply direct how SEARAH's assets are to be managed because those assets sit inside a UK company governed by English law, the question becomes: what does Malaysia do? It cannot unilaterally expropriate the UK company's assets without triggering UK law protections. It cannot simply override the shareholder agreement without potential ICSID exposure. And it cannot do any of this without incurring the risk of an international arbitration in which its own courts' rulings are characterised as the act of expropriation.

THE STRUCTURAL FINDING

SEARAH is not accidentally registered in London. The UK structure is not a technicality. It is the point. The question is not whether the structure is illegal. The question is whether a sovereign resource of a nation was placed inside a legal architecture designed, at least in part, to make that sovereign resource harder to reclaim through domestic legal processes — at the very moment those domestic legal processes were becoming most consequential.

The legal protections available under this structure are governed by

PART 4 OF 4 | THE UNANSWERED

WHAT NOBODY IN PUTRAJAYA WILL EXPLAIN

The transaction has not yet closed. Eni's own statements, as recently as March 2026, indicate that "customary and governmental approvals" in both Malaysia and Indonesia were still being obtained. The deal was expected to reach closing in 2026, with operations beginning mid-2026. This means the conditions precedent have not all been satisfied. It means the Malaysian government — at some level — is still being asked to approve or acquiesce to a structure whose corporate form is already in existence. This is not a closed question. There is still time.

What we do not yet have — what has not been made public — is any record of the following:

SEVEN QUESTIONS THAT DESERVE ANSWERS

1. The UK Structure	Who specifically decided that SEARAH would be incorporated in the United Kingdom under English law, rather than in Malaysia under Malaysian law? Was this decision made by Eni, by PETRONAS, or jointly? Was Malaysian legal counsel consulted on the jurisdictional implications?
2. Government Approval	Did the Federal Cabinet formally approve the fact that Malaysian petroleum assets — including Sarawak fields — would be placed inside a UK-incorporated company with 50% foreign ownership? Did the Cabinet see the UK incorporation as a feature or a consequence?
3. Sarawak's Position	Was the Sarawak state government informed that assets in its offshore waters — assets directly relevant to the PETROS dispute — were being contributed to a joint venture with a foreign partner? Was PETROS consulted?
4. Parliament	Was Parliament notified? Under Malaysian law, are there requirements for parliamentary approval or disclosure when national petroleum assets are placed inside foreign-incorporated vehicles? If not, should there be?
5. SEARAH's Accounts	The first accounts are due at Companies House on December 31, 2026. When they are filed, they will include the asset schedule — the full list of fields and interests held by SEARAH. Has the Malaysian government obtained a copy of this schedule as part of its approval process?

6. Descalzi's Role	Eni has disclosed that the satellite model is Eni's model, used in Norway, Angola, and the UK. Did PETRONAS propose this structure, or did Eni propose it? If Eni proposed it, what consideration did PETRONAS give to the jurisdictional implications for Malaysia?
7. The Closing Conditions	What are the conditions precedent to closing? Has the Malaysian government insisted on any structural modifications as a condition of its approval? Is there a date by which those conditions must be satisfied?

The PETRONAS-PETROS Question Is Not Academic

The Federal Court's decision to allow the PETRONAS constitutional challenge on March 16, 2026 is significant not because it resolves the dispute — it does not — but because it means the court has agreed the question is serious enough to hear. The core issue is whether the Petroleum Development Act 1974, and the federal petroleum regime it established, validly applies in Sarawak, or whether Sarawak's own petroleum laws — passed by the Sarawak State Assembly and grounded in the Malaysia Agreement 1963 — take precedence. If PETROS prevails, the implications for PETRONAS's operating authority in Sarawak are substantial. If PETRONAS prevails, the PETROS framework is significantly weakened.

Either outcome will need to be implemented through the actual fields — through the wells, the platforms, the pipelines, and the gas that flows to Bintulu. Those assets are now, in their corporate holding structure, partly inside SEARAH. If SEARAH is already closed by the time the court rules, Malaysia's options for implementing whatever outcome the court produces are materially constrained by the corporate structure that is already in place.

If SEARAH has not yet closed — and Eni's March 2026 statements suggest it had not — then the Malaysian government still has the ability, as a condition of its approval, to require changes to the structure before it becomes final. This is not a hypothetical. This is a live negotiating position.

The Core Question

SEARAH is not a scandal in the sense that anyone has yet been proved to have done anything illegal. PETRONAS has every right to enter into commercial partnerships. Eni has every right to structure those partnerships in ways that serve its commercial interests. The Italian-Malaysia Bilateral Investment Treaty is a legitimate legal instrument that has been in force for 36 years.

But legitimacy and accountability are not the same thing. A national resource belongs to a nation. When that resource is placed inside a corporate structure that is governed by a foreign law, owned in part by a foreign company, and registered in a foreign jurisdiction — at a moment when domestic courts are actively deciding who controls that resource — the people of that nation are entitled to know why. They are entitled to know who decided. They are entitled to know who approved it. They are entitled to know what their government understood it was agreeing to.

The facts are not disputed. The company exists. The assets are real. The timeline is a matter of public record. The treaty is published. The court case is ongoing. What is missing is the explanation — and until that explanation is given, the question of whether Malaysia's petroleum future is being properly managed remains one that every Malaysian has the right to ask.

KEY TIMELINE	
Jul 2017	PETROS incorporated — 100% owned by Sarawak government (Reg. No. 1239938U)
Aug 2024	Kasawari gas field, Block SK316 offshore Sarawak, begins production — 200 mmscf/d initial rate
Jun 2025	Framework Agreement signed in Kuala Lumpur — both CEOs attend
Aug 2025	PETROS sues PETRONAS in Kuching High Court — unlicensed gas supply in Sarawak
Oct 2025	Anwar speaks with Meloni — both agree to expedite the deal
Nov 3, 2025	Investment Agreement signed at ADIPEC Abu Dhabi — both CEOs sign. SEARAH c interests. The legal architecture of SEARAH — UK incorporation, Engl
Feb 11, 2026	SEARA ENERGY LIMITED incorporated at UK Companies House (Company No. 17027115)
Feb 25, 2026	Kuching High Court rules on bank guarantee — jurisdiction question sent to Federal Court

Mar 16, 2026	Federal Court allows PETRONAS constitutional challenge on Sarawak petroleum laws
Mar 30, 2026	Company changes name from SEARA ENERGY LIMITED to SEARAH LIMITED — 14 days after Federal Court ruling
Mid-2026	SEARAH expected to begin operations — closing conditions still being satisfied
Dec 31, 2026	SEARAH first accounts due at Companies House — asset schedule will then become public

A country can lose control of its resources not only through theft, but through structure. Through complexity. Through decisions made in jurisdictions that ordinary citizens cannot access, governed by laws they cannot read, authorised by institutions they cannot question. SEARAH is not yet a scandal. It is a question — and questions of this kind deserve answers before the structure becomes permanent.

Sources: Companies House UK (Company No. 17027115), UNCTAD Investment Policy Hub (Italy-Malaysia BIT 1988), Wood Mackenzie press release February 28, 2025, Eni media releases November 2025 and March 2026, PETRONAS media releases November 2025, Reuters reporting October 2025 and March 2026, Global Arbitration Review (OPL 245 / ICSID Case No. ARB/20/48), Fulcrum Singapore (ISEAS-Yusof Ishak Institute) April 2026, Milan Court records March 2021. All documents are public record. This investigation will be updated when SEARAH files its first accounts at Companies House on December 31, 2026.

UNCTAD Investment Policy Hub (no Italy-Malaysia BIT confirmed — verified April 2026)